

how and where your money is invested for that specific mutual fund. Because they are making the decisions for you, you will need to pay your money manager a fee. Mutual funds can invest your money in many different sectors and investments: small companies, large companies, international companies, more conservative investments, or more aggressive investments.

An **index fund** is a type of mutual fund that hopes to mirror the performance of a specific **index**. Perhaps you have heard some of the following on the news before: "The S&P 500 is up 20 points today," "The Dow Jones Industrial Average has reached a new high," or "The Nasdaq is trading 1% higher this morning." The S&P 500, the Dow Jones Industrial Average, and the Nasdaq are all indexes. They are a collection of many different securities (things you can invest in) and are meant to represent the stock market, or a large section of it, as a whole.

Essentially, an index is like a sports team's win-loss record, and individual stocks are like the players on the team. When you hear that your favorite team won a game, you do not necessarily know which players scored exactly how many points, but you can assume that most of them must have played pretty well. Similarly, when you hear that the S&P 500 went up on a certain day, it does not tell you exactly how each of the stocks in the S&P 500 did, but you can assume that a lot of them must have gone up in value. These indexes are not stocks you can buy; they just provide information about the market. People use them to determine whether or not the entire market, not just one stock, is moving up or down. If someone says "The stock market is crashing!" or "The market is soaring!" they are referring to these indexes, not to any one particular stock.

The main difference between a mutual fund and an index fund is how they are managed. A mutual fund is **actively managed**